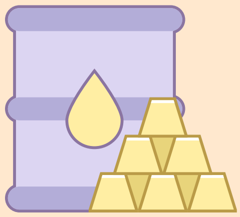
UNDERLYING ASSETS

In the above example, we were betting on the stock price of a company. The derivative was dependent on the share price of that company. However, there can be other alternatives that you can bet on. For example, the price of real estate, current market interest rates, bond prices, currency exchange rates, and so on. Any form of bet is a derivative contract because the two parties are not buying/selling the asset, they are just entering into a contract that is dependent on the asset

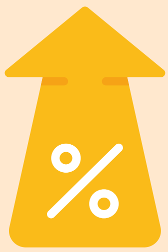
STOCKS

BONDS

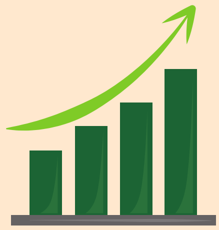


COMMODITIES

CURRENCIES



INTEREST RATES



MARKET INDICES